

Most department store cards have high interest rates, and most of your department store purchases can simply be made with the credit card you have. So why bother?

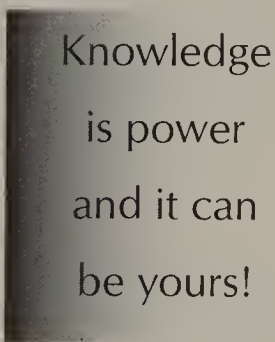
7. **Avoid inquiries.**

Don't apply for so many loans and credit cards within a short period of time. Doing this will call for a creditor or lender to look at your credit report and score. This is called an inquiry. You don't want too many of these! Every inquiry is listed on your credit report and stays there for two years. Keep in mind, inquiries are a negative rating factor for your credit score, especially if they're made in quick succession. Remember: there are eighty-eight negative factors! The score system is not "user friendly"!

If you open a new account, lay low for many months before you open another account or try to get a loan.

Let's Review

The concepts outlined in these chapters are easy and can be applicable to anyone. You don't have to be a member of any club, and you don't have to do a song and dance. By simply following the methods prescribed, you and your credit score can achieve a true "financial makeover!"



Knowledge
is power
and it can
be yours!

If you flip back through the pages of this chapter, you can see that getting your credit score up and keeping it there is not an insurmountable challenge. The number one piece of advice is an age-old characteristic of any good, decent, hard working citizen. Pay your bills. In the days of our grandparents, that was all they needed to heed. There were no credit reports and FICO scores and complicated top-secret formulas computing what kind of customer we would be. There was, "Sure, I know Fred. He owns a farm outside of town. Great guy. My bank loaned him some money and he always made his payments. I trust him." Those days have gone the way of using horses to pull the